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WELLS FARGO ADVISORS

What the results may mean for the economy and your wallet

After the elections

After months of waiting, investors now have one less uncertainty to deal with. The election is over, and voters decided to give President Obama another four years to lead the country. In addition to winning the White House, the Democratic Party retained a majority in the Senate, picking up two seats. However, the Republican Party also maintained its majority in the House of Representatives. This means that the political leadership will not change significantly. But that does not mean that everything will stay the same. Voters decided to retain many of the same leaders, but recent polls suggest that many people want to see different legislative results.

Now comes the difficult work of addressing the country's many challenges. We do not expect a wave of bi-partisanship to set in, but we believe that the public wants elected officials to cooperate more in order to address major problems. For example, a recent *Wall Street Journal*/NBC news poll asked respondents how they would prefer elected officials to deal with the deficit. The poll shows that most survey participants, 75%, want congressional leaders to compromise, whereas only a small minority, 15%, said that they want leaders to stick to their positions.

Looking ahead, the new Congress and President Obama must now find a way to boost economic growth and create jobs. Along the way they need to avoid the fiscal cliff, foster trade with other countries and maintain the security of the United States in an increasingly threatening world. Trade and defense are challenges that can be addressed over time. Unfortunately, avoiding the fiscal cliff and promoting economic growth are immediate problems. If Congress fails to take action, the Bush-era tax cuts and the Obama payroll tax cuts will expire at the end of this year. At the same time, mandatory federal spending cuts are scheduled to begin because lawmakers could not agree on a compromise to reduce the deficit during last year's debt-ceiling negotiations. The Congressional Budget Office estimates that the economy could go into recession and contract 0.5% next year if all the tax hikes and spending cuts take place as scheduled.

Together we'll go far

Gary Thayer
Chief Macro Strategist

Gary serves as chairman of Wells Fargo Advisors' Investment Strategy Committee, providing analysis on economic growth, interest rates, exchange rates and stock market activity to the firm's Financial Advisors and their clients.

We believe there are three scenarios that could unfold around the fiscal cliff. The first, and least likely, scenario would be for Congress to become deadlocked over negotiations and allow the country to go over the cliff. The second scenario would be to just postpone the fiscal cliff tax hikes and spending cuts for another year. This would probably be viewed as irresponsible by credit rating agencies, and the U.S. debt rating could be downgraded. Finally, we believe the third scenario is the most likely outcome. In this case, lawmakers would find acceptable middle ground that would include some tax increases and spending cuts but not the full measure scheduled to occur at the end of the year. Modest tax hikes and federal spending cuts would not severely hurt the economy but would be a drag on economic activity next year.

The slow recovery continues

Recent economic news shows that the U.S. economy is slowly recovering from the 2008-2009 recession. Fortunately, the housing market has finally turned up after six years of subtracting from economic growth. The country will face some fiscal drag if Congress allows some tax increases and spending cuts to reduce the deficit next year. This fiscal drag will most likely be offset by the recovery in housing and continued increases in consumer and business spending. As a result, we believe that the economy is likely to grow at about a 2.5% annual rate in 2013.

Many investors may be concerned that the election outcome will lead to continued political gridlock that has existed during the past two years. That is a risk, and it may look that way at times. However, both parties recognize the risk to the economy if lawmakers do not address the fiscal cliff. Therefore, during the next few weeks we are likely to see both parties talk about a willingness to work together but start the process by stating the pre-conditions for cooperation. We believe this would just be the first step toward addressing policy differences. Obviously, the process will not be quick and easy. Neither party won a mandate in the election. Therefore, both parties will need to give something in order to get something else. Finding acceptable tradeoffs will take time and difficult negotiations. Therefore, we may not see significant progress toward avoiding the fiscal cliff until the end-of-the-year deadline is near. If some progress has been made but not all the differences resolved, Congress could pass a temporary extension of the fiscal cliff, allowing the new Congress to make the final deals.

Some strategists are suggesting that congressional leaders could allow the country to go over the fiscal cliff as a way to force a compromise. This is possible if negotiations are not going well. However, if this happened, we would expect any compromise after the first of the year would be retroactive to the start of the year. Therefore, the economic impact would not necessarily be that severe. However, investors may not like such a tactic, and the financial markets could be volatile.

So what do the results mean for investors?

We believe that the underlying U.S. economic fundamentals remain favorable. The economy is growing, and the uncertainty of the election is behind us. If Congress and the president can find some middle ground and compromise over tax hikes and spending cuts, the outlook for the economy would be better than the worst-case scenario of allowing all the tax hikes and spending cuts to be implemented as scheduled. The economy could start the year on a weak note until the fiscal cliff issue is addressed, but we would expect economic momentum to build as the year progresses. In this environment, the stock market could be volatile during the next few months. However, positive seasonality during November and December could support stocks if investors see congressional leaders trying to work together. Longer-term, we look for the stock market to have modest gains next year, with our year-end 2013 target for the S&P 500 of 1,525–1,575.

Fortunately, the Federal Reserve's easy money policies will partially offset the fiscal drag of reducing the deficit. The government may borrow and spend a little less next year if a compromise is reached, but net lending in other sectors of the economy has increased, and this increase in credit in the private sector is likely to support economic growth. In addition, the credit markets are likely to benefit if the Fed continues to provide liquidity to the economy by buying bonds until the unemployment rate declines.

Investors have been positioned very defensively during the past year in order to deal with the uncertainty of the election outcome and the pending fiscal cliff. Moreover, lawmakers put off addressing issues until it was clear which party would come out ahead in the election. Finally, businesses appear to have delayed capital spending and hiring until the direction of government policy becomes clearer. After waiting much of this year, next year could potentially be a year of action. Congress could finally take action to address the fiscal cliff, and businesses could resume capital spending and hiring. And finally, investors could take a less defensive position if Congress avoids the fiscal cliff. If investor sentiment improves as we anticipate, stocks could outperform bonds in 2013 while cyclical sectors of the stock market are likely to perform better than defensive sectors.

Key takeaways

- We believe a compromise to avoid going over the fiscal cliff is the most likely scenario
- Reaching a compromise may take time, and the new Congress may be tasked with working out the final details.
- Next year may present opportunities for stock investors.
- Talk with your Financial Advisor about what adjustments you may want to make to help safeguard your investments.

Stay tuned

Our analysts and strategists will be following all the latest developments regarding the aftermath of the elections and the results' potential impact on the U.S. and global economy, the markets, and political news overseas. There are a number of ways to access our advice and commentary to keep informed about how events may affect you financially.

Talk to your Financial Advisor

He or she can provide research from Wells Fargo Advisors as well as outside research resources. You can also review your current investment strategy and goals and be prepared to act if anything should change.

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